Employee-Ownership Plans

The world of employee stock-ownership plans, stock option plans, employee stock-purchase plans, and incentive option plans is confusing at best, and it’s difficult if not impossible to evaluate the potential worth of stock and stock options offered by your employer. Stock options are a popular method of attracting employees in high-tech companies and are becoming more common in other industries as part of total compensation plans.

Stock Options

Stock option plans are a way for companies to attract, share ownership with, and reward employees. A stock option gives an employee the right to buy company stock at a specified price during a specified period after the option has vested. Companies use the vesting period to motivate employees to stick around. Let’s say you receive an option of 500 shares at $10 per share and the stock price goes up to $20. You can exercise the option and buy the 500 shares at $10 each, sell them for $20 each, and pocket the $5,000 difference. If the stock price never rises above the option price, you don’t lose money but you don’t make any, either.

ESSENTIAL

If you’re offered stock options, be sure you understand which type they are and how they work. You can find detailed information about the various types of plans at the National Center for Employee Ownership website at *www.nceo.org*.

Employee Stock Purchase Plans